

DDGPT

Investment Committee Memorandum

Generated: May 10, 2026

Risk Score: 0.50

Confidential institutional diligence report generated using DDGPT autonomous diligence workflows.

Risk Findings

YELLOW

UNDER TARGET PERFORMANCE

Detail: Net IRR below target IRR

Evidence: Net IRR=16.8% | Target IRR=18.0%

Why It Matters: Fund may be underperforming stated underwriting targets.

Question to Ask: What is driving the performance shortfall?

Extracted Metrics

Document	Net IRR	Target IRR	TVPI	Mgmt Fee	Carry
tmp2m326cf3.pdf	16.8	18.0	1.62	2.0	20.0

Full IC Memorandum

Investment Committee Memo

Date: 2025-12-01

Document Reviewed: tmp2m326cf3.pdf

1. Top 3 Risks

1. Underperformance Risk

- Evidence: Net IRR (16.8%) is below Target IRR (18.0%).
- Flag: YELLOW - UNDER_TARGET_PERFORMANCE.
- Why it Matters: The fund may be underperforming stated underwriting targets, potentially impacting returns to investors.

2. Management Fee Structure Change Risk

- Evidence: A revised management fee of 2.25% on committed capital is planned for new LP commitments starting in 2026, compared to the current 2.00%.
- Why it Matters: The fee increase could impact the fund's attractiveness to new investors and existing LP relationships.

3. Carry Hurdle Risk

- Evidence: Carry is 20% over an 8% preferred return.
- Why it Matters: The hurdle rate may be challenging to achieve if the fund continues to underperform, reducing the GP's incentive alignment.

2. Inconsistencies

1. Management Fee Evidence

- Issue: The evidence snippet for the management fee (2.00% on committed capital) is not found verbatim on the cited page.
- Why it Matters: Lack of direct evidence raises questions about the accuracy of the reported fee structure.

3. Recommendation

INVESTIGATE

4. Justification

- Underperformance: The Net IRR of 16.8% falls short of the Target IRR of 18.0%, as flagged in the YELLOW alert. This warrants further investigation into the drivers of the performance shortfall.
- Management Fee Change: The planned increase in the management fee to 2.25% for new commitments in 2026 could impact investor sentiment and fund economics.
- Evidence Inconsistency: The lack of verbatim evidence for the current 2.00% management fee raises concerns about data reliability.
- Carry Hurdle: The 8% hurdle rate, combined with the underperformance, may limit the GP's ability to earn carry, potentially misaligning incentives.

Given these risks and inconsistencies, further investigation is necessary before making an investment decision.

Questions to Ask:

1. What is driving the performance shortfall?
2. Can the fund meet its carry hurdle given current performance?
3. What is the rationale behind the management fee increase, and how will it impact existing and new LPs?
4. Can the management fee evidence be verified?